CA INTER MAY 2026

AUDITING & ETHICS

ETHICS & TERMS OF AUDIT ENGAGEMENT (SA 210, SQC 1 & SA 220)

ONE SHOT

CHAPTER 2: Ethics & Terms of Audit Engagement (SQC 1, SA 210, 220)

➢ Ethics – Meaning & Need:

Meaning: – Student Specific Code	• Means moral principles which govern a person's behavior or his conducting of an activity. • Ethics is something which comes from an individual intrinsically. • It is a state of mind to act and perform in accordance with moral principles. Ethics is the science of morals in human conduct. Such moral principles and rules of conduct impose obligations upon individuals.
Need of Prof. Ethics:	• Professions like law, medicine have their code of ethics. Auditing profession is no exception → reason that society in general, governments, clients, taxing authorities, employees, investors, the business and financial community in particular, have reposed tremendous trust in services rendered by Chartered Accountants → purpose of assurance engagements is to enhance confidence of the intended users. • A distinguishing feature of the accountancy profession is its acceptance of the responsibility to act in the public interest. • It is in the spirit of ICAI, i.e., Chartered Accountant, either in practice or in service, has to abide by ethical behaviors. They are expected to follow the fundamental principles. • Any deviation from the ethical responsibilities brings the disciplinary mechanism into action against the Chartered Accountants which may result into fines, suspension of membership, removal from membership or other disciplinary actions.
Principles based Vs Rules Based Approach (Ethical or Legal)	**Q1.** Briefly outline how principles-based approach differs from rules-based approach to ethics. **Ethical guidance may follow** principles-based approach or rules-based approach. **Principles based approach:** The essence of principles-based approach to ethics is that it Requires compliance with spirit of ethics. It requires accountants to exercise professional judgment in every situation based upon their professional knowledge, skill, and expertise. It requires that accountants should use professional judgment to evaluate every situation to arrive at conclusions. **Rules based approach:** However, rules-based approach to ethics strictly follows clearly established rules. It may lead to a narrow outlook and spirit of ethics may be overlooked while strictly adhering to rules. Further, rules- based approach is somewhat rigid as it may not be possible to deal with every practical situation relying upon rules. Therefore, it is necessary that spirit of code is followed (Principles based)

➢ Fundamental Principles: Ethical Requirements Relating to an Audit of FS:

Q2. The auditor shall comply with relevant ethical requirements, including those pertaining to independence, relating to FS audit engagements (**NOTE: If Qn is of 4 marks only, so just Write the Head Name of all ethical requirements, do not write Full Detail]** **[OLD]**

Q. to achieve the objectives of accountancy profession, have to observe a number of **fundamental principles [OLD]**

auditor shall comply with relevant ethical requirements, including those pertaining to independence, relevant ethical requirement comprise Code of Ethics of professional accountant (IESBA)

"Ethics" are the principles of conduct governing an individual or group. Professions like law, medicine have their code of ethics. Auditing profession is no exception. Rather, in profession of auditing, importance of ethics is manifold

The IESBA Code establishes the following as the fundamental principles of professional ethics relevant to the

auditor when conducting an audit of FS. meaning and intent of these fundamental principles as under:
***Trick**: IPCC- O*

Integrity	• Integrity requires auditor to be straight forward and honest in all professional and business relationships. It implies fair dealing and truthfulness. • It effectively means that he shall not be associated with reports, returns, communications or other information which he believes contains a materially false or misleading statement; contains statements or information provided recklessly or omits required information where such omission could be misleading.
Professional behavior **(Qn)**	It requires an auditor to comply with relevant laws and regulations and avoid any conduct that he knows or should know might discredit the profession. Not knowingly engage in any employment, occupation or activity that impairs or might impair the integrity, objectivity or good reputation of the profession
Confidentiality	Confidentiality principle requires an auditor to respect the confidentiality of information acquired because of professional or business relationships → not be disclosed to a 3rd party. However, such confidential information may be disclosed, for example, • When it is required by law, • when it is permitted by law and is authorised by the client or employer or • there is a professional duty or right to disclose when not prohibited by law.
Professional competence and due care	It requires that auditor attains and maintains professional knowledge and skill at the level required to render competent professional service based on current technical and professional standards and legislation and also to act diligently and in accordance with technical and professional standards. Diligence includes responsibility to act carefully
Objectivity	Principle of objectivity requires an auditor not to compromise professional judgment / not undertake a professional activity because of Bias, conflict of Interest or undue Influence of others.

Q3. "Integrity" and "Objectivity" → Distinguish between the two.

Hint: Mention above definition given for "Integrity" & "Objectivity" & Below Detail:
Hence, integrity requires auditor to be involved in fair dealing and truthfulness with client and not be associated with materially false or misleading statements, reports, returns or communications.
However, objectivity requires auditor not to compromise professional judgment because of bias, conflict of interest or undue influence of others.

Q4. CA P. Suryakantam is an auditor. ICAI has issued a letter to him relating to certain matters concerning audit. He didn't even to replied after many reminder. Which fundamental principle is violated.

Hint: It smacks of lack of courtesy and professional responsibility. "Professional behaviour" is disregarded.
***(Note:** Similar Reversed question is Also Asked by ICAI → **i.e.**, Explain "Professional Behaviour" & "Give one example of non comply" , So For example → Mention the above question case in example i.e., Non-Reply)*

Q5. A CA issued a certificate showing original cost of machinery of a client for Rs. 9 crores to save some regulatory fees for his client. However, original cost was Rs.15 crore as per records of client.

Hint: "**Integrity**" → (Explain Integrity 3-4 lines i.e., Shall not knowingly associated with report ……..).
In the given case, a false certificate is knowingly issued showing misstated original cost of machinery. Therefore, fundamental principle of "integrity" is violated.

Q6. Explain which fundamental principle of professional ethics is violated in following? (May 24 - 3M)

Question	**Answer Hint:**
A CA in practice accepted the appointment as an auditor of a firm in which his sister was a partner	Objectivity *(Mention 2-3 lines of Objectivity)*

A CA in practice was approached by his friend to seek some insider information about a company, which was a client of the CA. He could not refuse his friend.	Confidentiality (*Mention 2-3 lines of Confidentiality*)
A CA in practice failed to inform his client about the change in laws applicable to his client	Professional Competence and Due care (*Mention 2-3 lines*)

Q7. CA P employee had to divulge the information and documents as evidence in course of legal proceedings. Any Fundamental Principle violated ? ➔ Hint → *Refer above "Confidentiality"* → CA. P will not be held responsible for violation of fundamental principle of "Confidentiality" (Hint → Sept'25)

➢ Independence of Auditor

<table>
<tr><td>About Independence:</td><td colspan="2">• Independence implies that the judgement of a person is not subordinate to the wishes or direction of another person who might have engaged him.
• It is not possible to define "independence" precisely. Rules of professional conduct dealing with independence are framed primarily with a certain objective. The rules themselves cannot create or ensure the existence of independence. Independence is a condition of mind as well as personal character. It should not be confused with the superficial and visible standards of independence which are sometimes imposed by law.</td></tr>
<tr><td rowspan="3">IFAC defines Independence:

(2 interlinked perspective)</td><td colspan="2">The Code of Ethics for Professional Accountants issued by International Federation of Accountants (IFAC) defines the term 'Independence' as follows (i.e., It comprise of):</td></tr>
<tr><td>a) Independence of mind</td><td>The state of mind that permits the provision of an opinion without being affected by influences allowing an individual to act with integrity, and exercise objectivity and professional skepticism</td></tr>
<tr><td>b) Independence in appearance</td><td>The avoidance of facts and circumstances that are so significant that a third party would reasonably conclude an auditor's integrity, objectivity or professional skepticism had been compromised.

Independence not only to exist in fact, but also appear to so exist to all reasonable persons. Independence is dependent on the state of mind and character of a person and is a very subjective matter. One person might be independent in a particular set of circumstances, while another person might feel he is not independent. So, it's a duty of CA to determine himself.</td></tr>
<tr><td>Example:</td><td colspan="2">Statutory auditor of listed company ceases to perform any useful function if the persons who rely upon the accounts do not have any faith in independence & integrity of CA.</td></tr>
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Q8. "Independence of mind & independence in appearance are interlinked perspectives of of auditors.".
Hint: Refer Above Topic: *"About independence" & "IFAC defines independence"*

➢ Threats to Independence

Q9. The Code of Ethics for Professional Accountants, prepared by the International Federation of Accountants (IFAC) identifies five types of threats. Explain

The Code of Ethics for Professional Accountants, prepared by the International Federation of Accountants (IFAC) identifies five types of threats. These are:

Trick: SS-FAI Or FASSI

Self-interest threats *[Audit Fees ke*	Which occur when an auditing firms, its partner or associate could benefit from a financial interest in an audit client. Examples include (i) undue dependence on a client's fees and, hence, concerns about losing the engagement, (ii) contingent fees for the audit engagement. (iii) close business relationship with an audit client,

*alawa > usse **Business** ya **employment** bhi h > ya **Loan/Share**]*	(iv) potential employment with the client, and (v) direct financial interest or materially significant indirect financial interest in a client, (vi) loan or guarantee to or from the concerned client, Eg, in case an audit firm unduly relies on fees from a client, it may result in threat to self-interest of auditor and he may not work objectively for the fear of losing client.
Self-review threats	**Q10.** Write a note on "Self-review threats" • Which occur when during a review of any judgement or conclusion reached in a previous audit or non-audit engagement (Non audit services include any professional services provided to an entity by an auditor, other than audit or review of the FS. • These include management services, internal audit, investment advisory service, design and implementation of information technology systems etc.), or • when a member of the audit team was previously a director or senior employee of the client. Instances where such threats come into play are: (i) When an auditor having recently been a director or senior officer of the company, and (ii) When auditors perform services that are themselves subject matters of audit.
Familiarity threats *[MTP'19]*	**Q11.** Write a note on "Familiarity threats" (MTP'19, MTP'25) are self-evident, and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests. This can occur in many ways: (i) close relative of the audit team working in a senior position in the client company, (ii) former partner of the audit firm being a director or senior employee of the client, (iii) long association between specific auditors and their specific client counterparts, and (iv) acceptance of significant gifts or hospitality from client company, its directors or employee. Provisions in Companies Act, 2013 regarding rotation of auditors mainly address these very familiarity threats.
Advocacy threats	Which occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised, *e.g.*, when an auditor deals with shares or securities of the audited company, or becomes the client's advocate in litigation and third party disputes. In such situations, auditor can be perceived as backing and championing causes of auditee client and it may lead to belief that auditor is not acting and working objectively.
Intimidation threats	• Which occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. • Basically, these could happen because of: ✓ Threat of replacement over disagreements with the application of accounting principles, or ✓ Pressure to disproportionately reduce work in response to reduced audit fees or ✓ Being threatened with litigation. Such threats attempt to intimidate auditors to deter them from acting objectively.

➢ Safeguards to Independence

Q12. threats to independence & safeguards available to eliminate the threats., explain guiding principles [OLD]

Threats to independence & safeguards available to eliminate the threats, The following are the guiding principles:

*Trick: (It's very easy … no need of any trick still **Independence** & **Fundamental principles** Hamesha Follow kya koi **threat** hai ? **haa hai** **safeguard lagaoo** ..wrna accept nii krna audit)*

Independent	For the public to have confidence in the quality of audit, it is essential that auditors should

	always be and appears to be independent of the entities that they are auditing.
Fundamental principles	In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.
Any Threat	Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
Yes Threat	• When such threats exist, the auditor should either ✓ desist from the task or eliminate the threat or ✓ at the very least, put in place safeguards which reduce the threats to an acceptable level. • All such safeguards measures need to be recorded in a form that can serve as evidence of compliance with due process
If No safeguard	If auditor is unable to fully implement credible & adequate safeguards, then he must not accept the work.

Q13. CA Raman Gupta is offered appointment as auditor of a company. One of his distant uncles held some shares in the same company. (he is distant relative, so Law permit the same). Before he could accept appointment, he received unfortunate news of death of his uncle. He came to know that he was nominee of these shares.

Hint: When threats to independence exist, the auditor should either desist from the task or eliminate the threat or at the very least, put in place safeguards which reduce the threats to an acceptable level.
Holding of shares involves financial interest in the company and is in nature of self-interest threat. he should take steps to eliminate the threat by selling shares immediately before accepting appointment.
(a) for public confidence → essential that auditors always be appear independent **(b)** before accepting any work, consider whether involves threats **(c)** When such threats exist, the auditor should either desist from the task or eliminate the threat **(d)** If unable to fully implement adequate safeguards, then he must not accept the work

Q14. A CA receives about 40% of his total audit fees from a single client. Which threat of independence?
Answer: Undue dependence on fees of a client → fear of losing the client. → self-interest threats.

Q15. CA Murli Madhavan provides accounting and book keeping services to a leading NGO. He is also offered audit of the accounts of NGO. Identify and discuss what kind of threat to independence may be involved.
Hint: it constitutes "self-review" threat.

Q16. An Tourism entity gave there auditor a free tour package. Why it's unethical for CA ? any familiarity threat ?
Answer: Free Hospitability → professional ethic Fundamental principles Violated → impairing objectivity of auditor. ➔ Situation signifies that auditor form relationship with client → Due to free hospitability, may take sympathetic view for client for audit issues arises → familiarity threats are created in the situation.

Q17. Identify type of threat, & In case such threats exist, what should the auditor do? (Jan'25)

CA J, performed statutory audit as well as non- audit engagement for Take Away Pvt Ltd	Self-review thre
CA M done tax audit for M/s. Happy, where CA M has material indirect financial interest	Self Int. Threat
costs of travel & accommodation of family of audit team for audit was borne by client	Familiarity thre
Client threatened to replace auditors, as audit team insisted to make provision for ECL.	Intimidation thr
CA N, who audited NM Ltd became arbitrator for dispute between NM Limited & its vendors	Advocacy threat
CA N accepted Tax audit of TRF Ltd, mngt agreed to pay him contingent fee for tax audit	Self Int. Threat
Auditor deterred from acting objectively with an adequate professional skepticism	Intimidation thr

When Such Threat Exist → Refer above notes "Yes Threat" & "If No safeguard"

➢ PROFESSIONAL SKEPTICISM

Alert Query

Q18. auditor is responsible for maintaining an attitude of professional skepticism throughout the audit. Explain.

Definition:	• Refers to an attitude that includes a questioning mind,

	• Being alert to conditions which may: ✓ Indicate possible misstatement due to error or fraud, and ✓ A critical assessment of audit evidence.
Plan & Perform:	The auditor shall plan and perform an audit with professional skepticism
Alert to (Example): *[jo mila, jo dikha, jo sunna… wo dekh ke A.proc lagao]* *OOI*	**Q19.** Discuss 5 examples of professional skepticism. [MTP'25] **Q.** How application of professional skepticism throughout audit is helpful in reducing audit risk? **Q** Why important for auditor to maintain skepticism throughout audit? (Below Answer + SAAE also) **Professional skepticism includes being alert to, for example:** 1) Audit evidence that contradicts other audit evidence obtained. 2) Conditions that may indicate possible fraud. 3) Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence. 4) Circumstances that suggest the need for audit procedures in addition to those required by SAs. **Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:** OOI 1) Overlooking unusual circumstances. 2) Over generalising when drawing conclusions from audit observations. 3) Using inappropriate assumptions in determining the NTE of the audit procedures and evaluating the results thereof.
SAAE: *(It's also included in Answer)*	• Professional skepticism is necessary to the critical assessment of audit evidence. • It also includes consideration of the SAAE obtained in the light of the circumstances, • For example, in the case where fraud risk factors exist and a single document, of a nature that is susceptible to fraud, is the sole supporting evidence for a material financial statement amount.
Deemed Genuine:	• Auditor may accept records & documents as genuine unless the auditor has reason to believe the contrary. • In cases of doubt about the reliability of information or indications of possible fraud, the SAs require that the auditor investigate further and determine what modifications or additions to audit procedures are necessary to resolve the matter.
Mngt honesty & integrity:	The auditor cannot be expected to disregard past experience of the honesty and integrity of the entity's management and those charged with governance. Nevertheless, a belief that management and TCWG are honest and have integrity does not relieve the auditor of the need to maintain professional skepticism.

Q20. Mr. H was of the opinion that Professional Skepticism is required only at planning stage of an audit. Explain.

Answer: → Professional Skepticism is NOT only required at planning stage of an audit, rather Professional Skepticism is required during the entire process of an audit because situations and circumstances that are not usual in nature exist during the entire process of an audit.

Q21. Auditor of a company have only relied upon mngt representation letter regarding treatment of certain tax matters under appeal. The auditors have not carried out any other audit procedures. What is lacking?

Answer: It shows lack of "professional skepticism" on part of auditors.

Appoint

Auditor R2L

– Student Specific Code

SA 210 - Agreeing the Terms of Audit Engagements

Objective:	While accepting or continuing audit engagement, two conditions must be satisfy:

Term of A.E

	• Common understanding between Auditor & management/TCWG • Preconditions must be satisfied
Auditor should not accept Audit if:	• Pre-conditions are not present. • Prior to acceptance management imposes limitations (Do not accept audit, unless require by law. Or Issue disclaimer)
Pre-Condition for Audit: *Mngt acknowledge & understands its responsibility* ***(Direct Qn by ICAI: Important)***	Defined as the use by management of an acceptable FRF in the preparation of the FS and the agreement of mngt and, where appropriate, TCWG to the premise on which an audit is conducted. In order to establish whether the preconditions for an audit are present, the auditor shall: a) Determine whether the FRF is acceptable; and b) Obtain the agreement of mngt that it acknowledges and understands its responsibility: (i) For the preparation of the FS in accordance with the applicable FRF (ii) For the internal control as management considers necessary for preparation of FS free from MM, whether due to fraud or error. c) To provide the auditor with: (i) Access to all information such as records, documentation and other matters; (ii) Additional information that the auditor may request mngt for the purpose of the audit; & (iii) Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.
If pre-conditions Not present:	Auditor shall discuss the matter with management. Unless required by law or regulation to do so, the auditor shall not accept the proposed audit engagement: a) If auditor determined that FRF to be applied in the preparation of the FS unacceptable, Or. b) If agreement of mngt is not obtained on matters w.r.t understanding of responsibility of mngt on preparation of FS, I.C for preparation of FS, providing access to all information to auditor and unrestricted access to persons within the entity.

Q22. mngt of entity feels that it's not necessary for it to give in writing explicitly to auditor that it understands its responsibilities for preparation of FS in accordance with applicable FRF. Discuss, In case mngt refuses,

Hint: *Refer Above Notes* : "*If Pre-conditions Not present*"

It is necessary for mngt to give in writing explicitly to the auditor that it understands its responsibilities for preparation of FS accordance with applicable FRF. It is necessary precondition as per SA 210, Unless required by L&R to do so, such a refusal on part of auditor is necessary as mngt is not willing to accept its responsibility for preparation of FS in accordance with applicable FRF. An audit is conducted on this basic premise according to SA 210. When basic premise on which audit is conducted is not fulfilled, refusal by auditor is necessary.

Q23. Prior to accepting audit proposal offer, CA asked mngt to acknowledge there responsibility that the have a proper Process to prepare FS free from MMS. But mngt is denying. (RTP'24)

Hint: SA 210 include establishment of pre-conditions for audit (rest with mngt/TCWG)

- Mention *Objective of SA 210 (refer above table)* i.e., Preconditions & understanding
- One precondition is mngt acknowledges it's responsibility for preparation of FS, for such I.C necessary …….
- Design, implementation and maintenance of IC to ensure preparation of reliable FSs that are free from MMS is management's responsibility → so CA X is proper
- It not received, not accept proposed audit engagement unless required by law or regulation

➢ Agreement on Audit Engagement Terms:

Q24. State the purpose of a 'Letter of Engagement & what are the important contents of a letter of engagement

Purpose	• **MEANING** → The auditor shall agree the terms of the audit engagement with mngt or TCWG,.

i.e., Why Needed?	The agreed terms of the audit engagement are recorded in a letter or other the suitable form of written agreement. Such an agreement is known as Audit Engagement Letter • Legal requirement to get the accounts audited so far extends only to companies, registered societies etc. → So Law Govern the appointment • In all other cases, it is a matter of contract (Engagement letter : Sent by auditor to client) • For the auditor and client→ each party should be clear about the nature of the engagement. • It must be reduced to writing and should exactly specify the scope of the work. • For Partnership Firm → few more precautions are needed → appointment of the auditor is normally governed by the partnership deed → he should first get a clear idea of the nature of the service required and then ensure, with reference to the terms of partnership agreement that his appointment is valid.
Mngt/Tcw:	Auditor shall agree the terms of the audit engagement with mngt *or* TCWG, → as appropriate.
Include: *[Mera kaam, aapka kaam, meri respons., aapki respons.]*	The agreed terms of the audit engagement shall be recorded in an audit engagement letter or other suitable form of written agreement and shall include: a) Identification of the applicable FRF for the preparation of the FS; and b) The objective and scope of the audit of the financial statements; c) The responsibilities of the auditor; d) The responsibilities of management; e) Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content
If L&R prescribe terms:	If law or regulation prescribes in sufficient detail the terms of the audit engagement, the auditor need not record them in a written agreement, except for the fact that such law or regulation applies and that management acknowledges and understands its responsibilities.

Q25. auditors required from the company, its FS and other relevant information for which the audit is to be conducted. State who is responsible for providing such an information to the auditor **[OLD]**

Hint: Management of a company is responsible for providing the auditor with access to all information, additional information and unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence. *(Refer Above "Pre-Condition for Audit")*

Q26. Chirag has read somewhere that engagement letter issued by auditor to client also includes expected form & content of the auditor's report. He was at a loss to understand how an auditor could include form and content of the report beforehand. Try to help Chirag by making things clear to him.

Answer: → Engagement letter includes reference to expected form and content of audit report. It merely states that auditor would provide opinion in this form. However, engagement letter also includes statement that the form and content of report may need to be amended in the light of audit findings. Therefore, if in light of audit findings, auditor needs to give a modified opinion, he shall do so.

Q27. Who gives engagement letter to whom and what is included & when not required to record terms ? (MTP'25)

Hint: sent by the auditor to his client, *now refer above topic → "INCLUDE" & "If L&R prescribe terms"*

Q28. Auditor failed to send audit engagement letter to society, & due to this, mngt saying that audit is for ABSOLUTE Assurance → do Fundamental Principles violated ? **(MTP'24- Full Qn is in Additional PDF book)**

Hint: SA 210 → Auditor shall agree the terms of audit engagement with Mngt/tcwg, includes, objective & scope of audit of FS., So Not followed SA 210 → **Violated "professional competence and due care"** (i.e., Required to maintain professional knowledge & skill based on current technical & professional standards & relevant legislation)

➢ **Recurring Audit:**

Q29. R & Co, a firm of CA have not revised the terms of engagements and obtained confirmation from the clients for last 5 years despite changes in business. Or, Substantial change in the Management

Answer:

On recurring audits, auditor shall **assess whether circumstances require** the **terms of the audit engagement to be revised** and **whether there is a need to remind** the entity of the existing terms of audit engagement.

The auditor **may decide not to send a new audit engagement** letter or other written agreement each period.

Following factors appropriate to revise the terms of the audit engagement or to remind existing terms:

*Trick: mera padosi bahar jaara tha tab uski gaadi muje deke chale gya > mene galti se "**L&R**" toda gaadi chalate wqt, gaadi ki "**Ownership**" bhi mre pass nhi thi, me to bas uss gaadi ko mere padosi k liye "**manage**" kar rha tha > par Police ko to "**misunderstanding**" ho gyi unko laga mera "**Nature**" hi chori karna h > fir unhone mujse "**Special**" tarike se "**Finance**" Maanga*

1) change in legal or regulatory requirements.
2) significant change in ownership.
3) recent change of senior management.
4) Any indication that the entity misunderstands the objective and scope of the audit.
5) significant change in nature or size of the entity's business. [MCQ: Not Modest Change]
6) Any revised or special terms of the audit engagement.
7) change in the financial reporting framework adopted in the preparation of the financial statements
8) change in other reporting requirements.

In the Given Case, appropriate to revise the terms of the audit engagement → Viewpoint of auditor is incorrect.

[MCQ → Change of Engagement Partner is not condition to send Terms of engagement again]

Limitation on scope / Change in Terms:

PRIOR to Accepting Audit engmnt:	→ If Mngt or TCWG impose a limitation on the scope of auditor's work in terms of a proposed audit engagement. → such that auditor believes the limitation will result in auditor disclaiming an opinion on FS, → the auditor shall not accept such a limited engagement as an audit engagement, → unless required by law or regulation to do so.
Change in Engmnt Terms: – Student Specific Code	**Q30.** New products introduced by company → so mngt requested to change engmt Terms ? Factors / circumstances can client make a request to auditor for change in the terms of engmt [RPT'25] Q. before completion of engt, is requested to change the engt to one which provides a lower level of assurance,. Explain the factors based on which client can request auditor to change [OLD]. **Hint** Before completion of the engagement → mngt request to change the engagement to one which provides a lower level of assurance → auditor should consider the appropriateness of doing so. Diversified its business, and few new products → indicative of significant change in nature or size of the entity's business → Therefore, the request of mngt to change terms is appropriate. Reason for Change request [R …U….MC]: 1) a Change in circumstances affecting the need for service, 2) a misUnderstanding as to the nature of an audit or related service originally requested. 3) a Restriction on the scope of the engmnt, whether imposed by Mngt or circumstances *Above answer Ends* **Q31.** "An auditor who before the completion of the engagement is requested to change the engmt to one which provides a lower level of assurance should consider appropriateness of doing so." **Answer:** →Before completion of engmnt → mngt request to change the engagement to one which

TOE — Reason — Reasonable Justification

provides a lower level of assurance → auditor should consider the appropriateness of doing so.

No — Yes — Nature of Bus.. — Mngt — Withdraw — New terms → Record — Old TOE

Reason & Implication:	• Auditor would carefully consider the reason & Justification given for request. • implications of a restriction on the scope • Example: ✓ Reasonable → Change in circumstances that affects the entity's requirements or a misunderstanding concerning the nature of the service originally requested may be considered a reasonable basis for requesting a change in the audit engagement. ✓ Not Reasonable → change not reasonable if it relates to info that is incorrect, incomplete or otherwise Unsatisfactory (i.e., Unable to obtain SAAE)
If Reasonable Justification of Doing so:	
Not include old Engmnt terms:	If the auditor concludes that there is reasonable justification to change the engagement → Audit work will complied to SA's → report issued would be appropriate in revised terms. So, to avoid Confusion → report would NOT include: a) the original engagement; or b) any procedures that may have been performed in original engmnt. [Except : where the audit engagement is changed to an engagement to undertake agreed- upon procedures and thus reference to the procedures performed is a normal part of the report]
If terms changed:	• Auditor and mngt shall agree on and record the new terms in engagement letter or other suitable form of written agreement
If No Reasonable Justification of Doing so:	
Don't agree	Should Not agree to a change of engmnt when no reasonable justification.
If mngt not permit to continue audit:	If the auditor is unable to agree to a change and is not permitted by management to continue the original audit engagement, the auditor shall: a) Withdraw from audit engt, where possible under applicable L&R; and b) Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as TCWG, owners or regulators.

Q32. XYZ Ltd requested auditor to change the original Engt terms, as company has diversified its business. → Can CA do ?. & what are other circumstances of change ? (Old)

Hint: It has Diversified the business & new products → significant change in nature or size of the entity's business → So yes, agree. ["*For other Circumstances of Change*" → *refer Above* "*Trick: R .. U.. MC*"]

Q33. Management not able to provide some supporting w.r.t significant portion of their receivables → so asked auditor to change Audit engagement to a review engagement. whether this change is justified? (MTP'25)

Hint: *refer above* → "*Reason for change request*" *and* "*Reason & implication*" → given case → not reasonable

AUDIT QUALITY (SQC-1) & (SA 220)

Audit Quality	• **Why:** It helps in creating trust in users of financial information. Industry, government and public at large who are the stake holders who relies upon assurance given by auditors. So, necessary to ensure high audit quality throughout the audit process. • **Meaning:** Audit quality involves application of a rigorous audit process by auditors and quality control procedures that comply with L&R and applicable professional standards.

- SQC 1 & SA-220: deal Quality control systems & responsibilities of auditors in this regard. Both the standards deal with audit quality.

SQC 1:	Quality Control for firms that perform audits and reviews of historical financial information, and other assurance and related services engagements (i.e., Deals with quality at level of firm, even for Non-audit engmnt also)
SA 220:	Quality Control for an audit of financial statements (i.e., Deals with audit quality at individual audit engagement level)

SQC 1 - Quality control for firms that perform audit and review of historical financial information and other assurance and related service engagements

System of Quality Control	Firm should establish System of Quality Control to provide Reasonable Assurance that: - • Firm & personnel comply to Professional Standard, Regulatory & Legal Requirements • Reports issued by Firm or Engagement Partners are appropriate in circumstances. This quality control standard applies to all firms irrespective of their constitution.

Definition: **(Qn)**	**Engagement Partner**: refers to the partner or other person in the firm who is responsible for the audit engagement and its performance, and for the auditor's report that is issued on behalf of the firm, and who, where required, has the appropriate authority from a professional, legal or regulatory body ***(he must be CA)***.
Elements of SQC: *[HE-MALE]*	**Q34.** The firm's system of quality control should include policies and procedures addressing each and every element of system of quality control. State those elements. **[OLD]** Elements of system of quality control, The firm's system of quality control should include **policies and procedures addressing** each of the following elements: H- Human resources E- Engagement performance Document Communicate M- Monitoring A- Acceptance and continuance of client relationships and specific engagements L- Leadership responsibilities for quality within the firm E- Ethical requirements Quality control policies and procedures should be documented and communicated to the firm's personnel. By communicating, the firm recognizes the importance of obtaining feedback on its quality control system from its personnel. Therefore, the firm encourages its personnel to communicate their views or concerns on quality control matters.

Delegate

1) Leadership responsibility for quality of firm:

- Establish Policies and procedures to promote internal culture based on the recognition that quality is essential in performing engagements → firm's CEO or managing partners are responsible for firm's SQC
- Delegation of operational responsibility by CEO/MP for SQC should be assigned to experienced & able person
- Establish policies and procedures to promote good internal culture that recognizes high quality audit work.

Q35. SQC 1 requires assumption of leadership responsibilities for quality within firm. Are such leadership responsibilities required for audit only? Who assumes such leadership responsibilities? (MTP'24)

Hint: Refer/Mention full Above "*Leadership responsibility for quality of firm*"

(i.e., SQC 1 → leadership responsibilities required for all engagements and not for audit only)

2) Ethical Requirements	
Policies and procedures (P&P) → provide reasonable assurance → that the firm and its personnel comply with relevant ethical requirements contained in the Code of ethics (COE) issued by ICAI.	
Fundamental Principles:	P&P to comply with: Integrity, Professional behavior, confidentiality, Objectivity, Professional competence& Due Care]
Independence: *(**Trick:** Unhe Samjaao ki independence mtlb kya hai → fir pucho **ki kya ab bhi tum independent ho ?** → nhi .. to **action** lo)*	**Q36.** How does SQC 1 ensure that independence in engmt is not breached by an audit firm? Firm should establish P&P designed to provide it with reasonable assurance that the firm, its personnel & (including experts contracted by the firm and network firm personnel) maintain independence where required by the Code. Such P&P should enable the firm to: a) Communicate its independence requirements to its personnel b) Identify circumstances and relationships that create threats to independence, and c) Take appropriate action to eliminate threats or reduce them to an acceptable level by applying safeguards, or, if considered appropriate, withdraw from the engagement. There should exist a mechanism in the firm by which: → Engt partner to notify → the firm → about Relevant Engagement, & → Personnel of Firm → Notify firm → about Circumstances & relationship → create threat → if any breach → notify to firm & take appropriate action Annual Confirmation: **At least annually**, the firm should obtain written confirmation of compliance with its P&P on independence from all firm personnel.

[Q Hint Jan'26 → SQC 1 → can firm have mechanism to ensure compliance with independence requirements ? ➔ Hint:Just refer above Topic "There should exist a mechanism in the firm by which"]

3) Acceptance and Continuance of Client Relationships and Specific Engagements	
Before accepting engagement: *(saamne wala & Khud)*	Before accepting an engagement should acquire vital information about the client: 1) Integrity of Client, promoters and key managerial personnel. 2) Competence (including capabilities, time and resources) to perform engagement 3) Compliance with ethical requirements. Obtain info to accept engmt & to continue existing one → if issues identified & still accept/ continue engmt → it should document how the issues were resolved.
Integrity of Client: Client Auditor	With regard to the integrity of a client, matters that the firm considers include, for example: (i) The identity and business reputation of the client's principal owners, key management, related parties and those charged with its governance. (ii) The nature of the client's operations, including its business practices. (iii) Indications that client might be involved in money laundering or other criminal activities. (iv) Whether client is aggressively concerned with maintaining firm's fees as low as possible. (v) Indications of an inappropriate limitation in the scope of work. (vi) The reasons for proposed appointment of firm and non-reappointment of previous firm. (vii) Information concerning the attitude of the client's principal owners, key management and those charged with its governance towards such matters as aggressive interpretation of accounting standards and the internal control environment. (viii) The extent of knowledge a firm will have regarding the integrity of a client will generally grow within the context of an ongoing relationship with that client.

Infor → Withdraw

Continuation of Engmt: **Information obtained after:**	• If is any conflict of interest between the firm and client → Should be properly resolved • If firm obtains any information later → in case it would have obtained it before, → then he may not have accepted the engagement. Apply regulatory • Policies and procedures on the continuance of the engagement and the client relationship should include consideration of: a) The professional and legal responsibilities that apply to the circumstances, including whether there is requirement to report to the person who made the appointment or, in some cases, to regulatory authorities; and b) The possibility of withdrawing from engmt. or from both engagement & client relationship

Q37. SQC 1/ SA 220, auditor should obtain information considered necessary in the circumstances before accepting an engagement with a NEW client, & when considering acceptance of a NEW engmnt with an existing client. Explain, and Which matters would be considered by audit firm w.r.t integrity of client? [OLD & MTP25]

Hint: *refer above notes "Before accepting engagement" & "Integrity of Client"*

Q38. CA firm partner's remain too busy, proposing to accept audit work in areas in which it has no experience or capabilities. like "fin-tech" sector clients. Discuss, whether, firm should accept such audits with reason.

Hint: SQC 1 requires that before accepting an engagement, competence (including capabilities, time and resources) to perform engagement have to be considered. ➔ (*explain the given case*) → Hence, should not accept.

4) Human Resources	
About:	Policies and procedures designed to provide reasonable assurance that: • it has sufficient personnel with the capabilities, competence, and commitment to perform its engagements in accordance with professional. • to issue reports that are appropriate in the circumstances. Such P&P also deals: HR issues, Compensation, training, development etc. Engmt Team → should able to carry out its responsibility with necessary competence and skill.
Responsible:	The firm should assign responsibility for each engagement to an engagement partner.

Consultation

5) Engagement Performance	
Consistency in quality of engagement performance is achieved through briefing engagement teams of their objectives, processes for complying with engagement standards, processes of supervision and training, methods of reviewing performance of work, appropriate documentation of work performed.	
Consultation in difficult or contentious matters:	• Consultation needed for difficult or contentious matters pertaining to an engagement. • It includes discussion, at appropriate professional level, with individuals within or outside the firm who have specialized expertise, to resolve a difficult or contentious matter. • A firm needing to consult externally, for example, a firm without appropriate internal resources, may take advantage of advisory services provided by other firms or professional and regulatory bodies.
Engagement quality control review (**EQCR**) Ram I Pappu → EP	**Q39.** Why EQCR Review require ? Applicable type of engagement ? what if EQCR not mandatory ? **Applicable:** • Listed entities audits of FS of → Mandatory. • For Other Engagements → devise criteria **About: (Why Review Require)** • EQC Reviewer will review Significant judgments made in an engagement before the report is issued (i.e., do not issue report before EQCR review) • extent of the review depends on the complexity of engagement & risk • review does not reduce the responsibilities of the engagement partner.

	If EQCR Not Mandatory: i.e. Non-Listed Entity → firm should devise criteria to determine cases requiring performance of engagement quality control review **EQCR:** Should be member of ICAI + suitably qualified external person (Partner or employee) or can be from another firm with similar background.
Differences of Opinion:	**Q40.** engagement partner is not willing to accept recommendations of reviewer. [OLD] • Between Engmnt Team or those consulted & Engmnt partner & EQCR → report should only be issued after resolution of such differences • In case, recommendations of EQCR are not accepted by engmnt partner and matter is not resolved to reviewer's satisfaction, the matter should be resolved by following established procedures of firm like by consulting with another practitioner or firm, or a professional or regulatory body
Engagement documentation:	**Time limit Assembly:** P&P: P&P for engmnt teams to complete the assembly of engmnt files on a **timely basis** after the engagement reports have been finalized. Audit engmnt: Files should be completed in **not more than 60 days** after date of auditor's report Other: Other engmnt files within the limits appropriate to engagements. (timely basis after engmnt report)
	Time limit for retention: • Engmnt documentation → retained for period of time sufficient to permit those performing monitoring procedures to evaluate the firm's compliance with its system of QC, or for a longer period if required by law or regulation • **Audit Engagements: minimum 7 years** from the ✓ date of the auditor's report, or, ✓ if later, the date of the group auditor's report
	Safety: P&P should be designed to maintain the confidentiality, safe custody, integrity, accessibility and retrievability of engagement documentation.
	Property of Auditor: • Unless otherwise specified by L&R, E.D is the property of firm. • The firm may, at its discretion, make portions of, or extracts from, engagement documentation available to clients, provided such disclosure does not undermine the validity of the work performed, or, in the case of assurance engagements, the independence of the firm or its personnel.

Q41. After completing Audit, after 6 month, CFO called it's statutory auditor to share Complete Audit File to improve F.S next year, Is it mandatory for statutory auditors to share audit files with client? (MTP'24)

Hint: Refer Above "*Property of Auditor*" (i.e., not mandatory for CA N to share audit file with client)

6) Monitoring:	
About:	• The firm should ensure that P&P relating to the system of QC are relevant, adequate, operating effectively and complied with in practice. • Such P&P should include an ongoing consideration and evaluation of the firm's QC system, including a periodic inspection of a selection of completed engagements.

SA 220- Quality Control for an Audit of Financial Statements

About:	**Q42.** "SA 220 is premised on the basis that the firm is subject to SQC 1". What do you understand by given statement in context of audit quality? (RTP) • Audit quality is essential to maintain confidence in independent assurance provided by auditors. It's responsibility of auditor to maintain high audit quality. SQC 1 & SA 220 both

	deal with quality control. SQC 1 applies to entire firm. However, SA 220 applies to a particular audit engagement. • Based on QC policies as per SQC 1 → Engagement partner of a team is responsible for quality control procedures of a particular audit engagement as per SA 220 • Therefore, SA-220 is premised on the basis that the firm is subject to SQC 1 • Within the context of firm's system of QC, Engmnt teams have a responsibility to implement QC procedures that are applicable to the audit engagement • Engagement teams are entitled to rely on the firm's system of QC, unless information provided by the firm or other parties suggests otherwise

SA 220 describes **responsibilities of engagement partner** in relation to following matters:	Elements of System of Quality control:
a) Leadership responsibilities for quality on audits. b) Relevant ethical requirements c) Acceptance and continuance of client relationships and audit engagements . d) Assignment of engagement teams. e) Engagement performance. f) Monitoring.	a) Leadership responsibilities for quality within firm b) Ethical requirements c) Acceptance and continuance of client relationships & engmngt. d) Human resources e) Engagement performance f) Monitoring

P R C

Objective:	a) audit complies with professional standards and regulatory and legal requirements b) auditor's report issued is appropriate in the circumstances.

Leadership Responsibilities for Quality on Audits: *[team ne Standard, L&R, QC follow krke report issue ki]*	**Q43.** engagement partner takes overall responsibility for maintaining audit quality in an audit engmt in accordance with SA 220. What are his objectives in taking such responsibility? PRL QC A.R **Engagement partner** is to take responsibility • Leadership responsibilities for quality on audits: a) Importance to audit quality of: 1) Engmnt team's ability to raise concerns without reprisals fear; 2) Performing work that complies with professional standards and regulatory and legal requirements; 3) Complying with firm's QC policies and procedures as applicable; 4) Issuing auditor's reports that are appropriate in circumstances b) The fact that quality is essential in performing audit engagements.
Relevant Ethical Requirement:	• Identifying a threat to independence regarding the audit engagement that safeguards may not be able to eliminate or reduce to an acceptable level. • Reporting by engmnt partner to relevant persons within the firm to determine appropriate action, which may include eliminating the activity or interest that creates the threat, or withdrawing from audit engmnt, where withdrawal is legally permitted.
Acceptance & Continuance:	Same as SQC 1, obtain such information (Information like integrity of principal owners, competence of engmnt team & capabilities including time and resources)
Assignment of Engagement Teams:	Enmgnt team and any auditor's experts who are not part of the enmngt team, collectively have the appropriate competence and capabilities to perform the engagement in accordance with professional standards and regulatory and legal requirements.
Monitoring:	An effective system of Q.C includes a monitoring process designed to provide the firm with reasonable assurance that its policies and procedures relating to the system of quality control are relevant, adequate, and operating effectively. The engagement partner shall consider the

(*ethical requirmnt* → *independence* → agr y hai … to accept karlo → kuch issue ho to consult kar lna)	results of the firm's monitoring process as evidenced in the latest information circulated by the firm and, if applicable, other network firms and whether deficiencies noted in that information may affect the audit engagement. **The engagement partner should document following matters pertaining to audit engmnt:** a) Issues identified w.r.t compliance with relevant ethical requirement & how they were resolved. b) Conclusions on compliance with independence requirements that apply to the audit engagement, and any relevant discussions with the firm that support these conclusions. c) Conclusions reached regarding the acceptance and continuance of client relationships and audit engagements. d) The nature and scope of, and conclusions resulting from, consultations undertaken during the audit engagement.

DSR + SAAE + Consultatn

A Robin

Engagement Performance:

Enmngt partner has responsibility for overall direction and review of the audit: [Jan'26]

[DSR + SAAE + Consultation = Audit report]

- Direction, supervision and performance of audit engmnt & performance of audit engagement in accordance with professional standards and regulatory and legal requirements.
- Review of audit documentation before issue of audit report is his responsibility.
- SAAE Obtained for Conclusion: It has to be ensured that SAAE has been obtained to support the conclusions reached and for issuance of auditor's report.
- Consultation: Engagement partner is also responsible for ensuring undertaking appropriate consultation on difficult or contentious matters.
- He is responsible for auditor's report being appropriate in circumstances.

EQCR:	**Engagement Partner Responsibility for EQCR:** a) Determine that an EQCR has been appointed b) Discuss significant matters arising during the audit engagement, including those identified during the EQC Review, with the engagement quality control reviewer c) Not date the auditor's report until the completion of the engagement QC review.
Differences of Opinion:	Engagement team shall follow the firm's policies and procedures for dealing with and resolving differences of opinion.

Q44. CA M is auditing listed companies, Discuss the responsibilities of CA M as an engagement partner for engagement quality control review as per SA-220. (May'24)

Hint: Refer Above "*EQCR* → "*Engagement partner responsibility for EQCR*" and "*Difference of Opinion*"

Q45. CA PK Nair is offered appointment as auditor. raids on premises of company and of its directors by National Investigation Agency (NIA), searches by Enforcement Directorate hunting for illicit money. Should he accept

Hint: → **Integrity of principal owners** has to be considered before accepting an audit engagement as per SA 220.

SQC 1 clearly states ➔ that in cases where there are indications that the client might be involved in money laundering or other criminal activities, appointment should not be accepted.

In the instant case, , proposed offer should not be accepted.

Q46. Auditor While filling CARO 2020 report, While reporting in clause vii(a) relating to regularity of undisputed statutory dues, the auditors have commented that company is "generally regular" in depositing statutory dues. Is above reporting qualitative and in line with requirements of SA-220? **[OLD]**

Answer: → Such type of reporting is not qualitative. It is not in accordance with SA 220.

One of the objectives of the auditor, as per SA 220, is to implement Q.C procedures at the engmnt level that provide the auditor with reasonable assurance that the audit complies with professional standards & regulatory and legal requirements. The reporting under CARO, 2020 is not proper.

Q47. In Listed company audit, if some matter is already consulted with ICAI, then EQCR not require? **[OLD]**

Hint: → EQCR in listed entities is a mandatory requirement. .

Q48. OP & Associates are the statutory auditors → Year 31/03/2019 → completed 01/0~~5~~/2018. 2pm The auditor's report was dated 12/05/2018. → QC review was completed on 15/05/2019. **[OLD → Full Qn in PDF]**

Hint: SA 220 → the engagement partner shall:

- Determine that an engagement quality control reviewer (EQCR) has been appointed;
- Discuss significant matters arising during the audit engagement, with the EQCR; and
- Not date the auditor's report until the completion of the engagement quality control review.

SA 700, "→ auditor's report to be dated no earlier than the date on which the auditor has obtained SAAE

Thus, in the given case, signing of auditor's report i.e. on May 12, 2018 which is before the completion of review engagement quality control review i.e. May 15, 2018, is not in order

Q49. Engagement Partner saying that matters related to independence assessment are responsibility of the Engagement Partner and not EQCR. EQCR objected to this and refused to sign off. **[OLD – Full in PDF]**

Hint: SA 220, Engagement Partner shall form a conclusion on compliance with independence requirements:

- Obtain relevant information, to identify and evaluate circumstances and relationships that create threats
- Evaluate information on identified breaches,
- Take appropriate action to eliminate such threats

SA 220, →During engagement quality control review → EQCR shall also consider the engagement team's evaluation of the firm's independence in relation to the audit engagement.
In the given case, Engagement Partner is not right.

THANK YOU